

CATEGORY STATE-OF-THE-BUSINESS

# Acme Corp — Q2 FY2026 Category State-of-the-Business

RTE Cereal and adjacencies: where the category is growing and where Acme should play

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|                             |                                                                |
|-----------------------------|----------------------------------------------------------------|
| RTE Cereal, Total US (FY25) | \$8.35B · +1.3% YoY                                            |
| Fastest pocket              | Wellness Protein \$840M · +18.3%                               |
| Acme RTE share              | 5.7% total · 8.4% Wellness Protein (Q2 MTD)                    |
| Shrinking pocket            | Kids Sweet \$1.41B · -2.8%                                     |
| Where-to-play call          | Fund the protein and single-serve pockets; defend Family Sweet |

# Executive summary

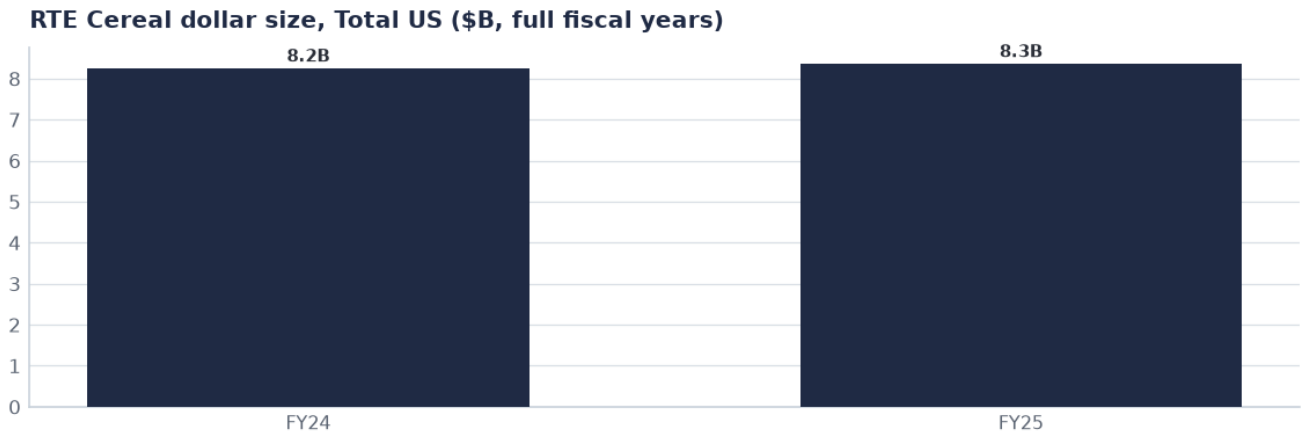
RTE Cereal is a low-growth category (+1.3% in dollars to \$8.35B in FY25) hiding a wide spread between pockets. Wellness Protein grew +18.3% to \$840M and is still accelerating (+18.6% Q2-FY26 MTD); Kids Sweet fell -2.8% and Family Sweet — Crunchwell's home — grew only +1.4%. Acme holds 5.7% of the total category but 8.4% of Wellness Protein and rising, which is where the ProteinPeak build is deliberately concentrated. The strategic read is a where-to-play question, not a demand crisis: the category is fine, the mix is what matters.

- **The category:** \$8.35B FY25, +1.3%. Growth is pocket-specific — protein and single-serve up double digits, kids and wholegrain in decline.
- **Acme's advantaged pocket:** Wellness Protein \$840M (+18.3%), Acme share 7.6% FY25 climbing to 8.4% Q2 MTD behind the ProteinPeak Cinnamon Crunch / Cocoa Almond launch. Target over-indexes at 18.4% share of the pocket.
- **Adjacencies confirm the thesis:** oat milk +18.8%, single-serve hot-cereal cups +9.8%, granola +3.3% — all consumer shifts toward protein, convenience and permissibility.
- **Macro backdrop:** high-protein demand (strength 0.92) and cinnamon (0.81) are tailwinds; GLP-1 appetite shift (0.81, down-volume) and low-sugar pressure (0.72) are the structural headwinds on legacy sweet cereal.

## 1 · The category, sized

| RTE CEREAL (FY25)           | ACME SHARE                  | WELLNESS PROTEIN                 | KIDS SWEET                         |
|-----------------------------|-----------------------------|----------------------------------|------------------------------------|
| <b>\$8.35B</b><br>+1.3% YoY | <b>5.7%</b><br>of total RTE | <b>\$840M</b><br>+18.3%, fastest | <b>\$1.41B</b><br>-2.8%, declining |

RTE Cereal in the US is a \$8.35B category that grew +1.3% in FY25 (\$8.24B → \$8.35B), a modest step up from +0.9% the prior year. The Q1-FY26 read (+1.1%) and the Q2 MTD read (+1.4%) both track in that same low-single-digit band. Acme all-brand dollar share of the total category sits at 5.7%. Nothing at the top line is broken; the story is entirely in how the category divides.



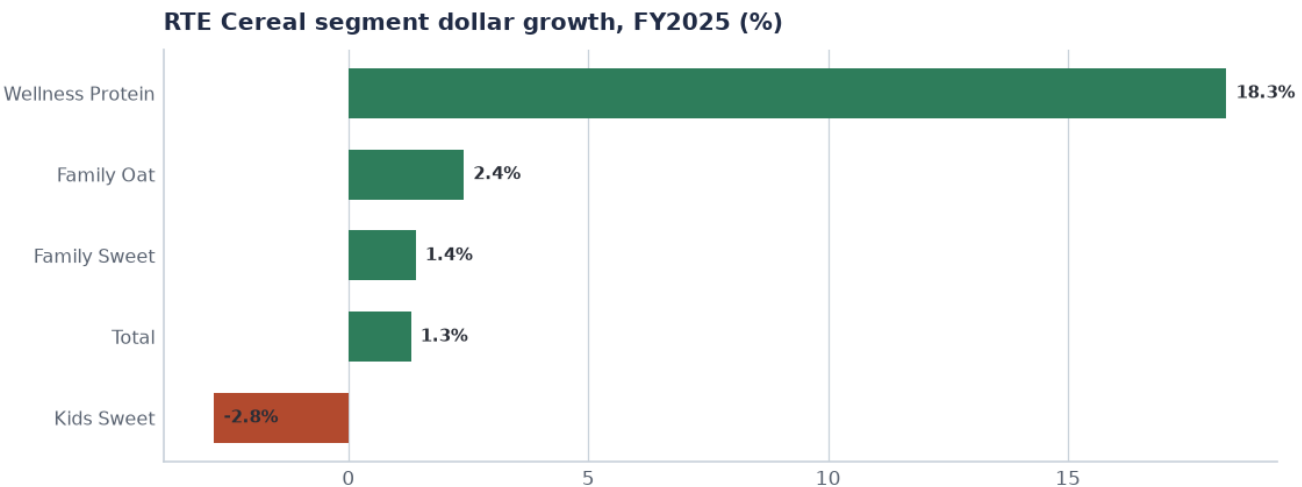
Full-year category size: \$8.24B → \$8.35B (+1.3%). FY26 quarters track the same +1.1% to +1.4% band.

## 2 · Segment growth — the real story

### 2.1 · RTE Cereal segment scorecard — FY2025

| Segment          | Size    | \$ Growth YoY | Acme share |
|------------------|---------|---------------|------------|
| Wellness Protein | \$840M  | +18.3%        | 7.6%       |
| Family Oat       | \$1.68B | +2.4%         | 7.4%       |
| Family Sweet     | \$2.86B | +1.4%         | 5.9%       |
| Total            | \$8.35B | +1.3%         | 5.7%       |
| Kids Sweet       | \$1.41B | -2.8%         | 5.1%       |

Source: seed\_category\_market\_size (NielsenIQ Total US xAOC), FY2025.



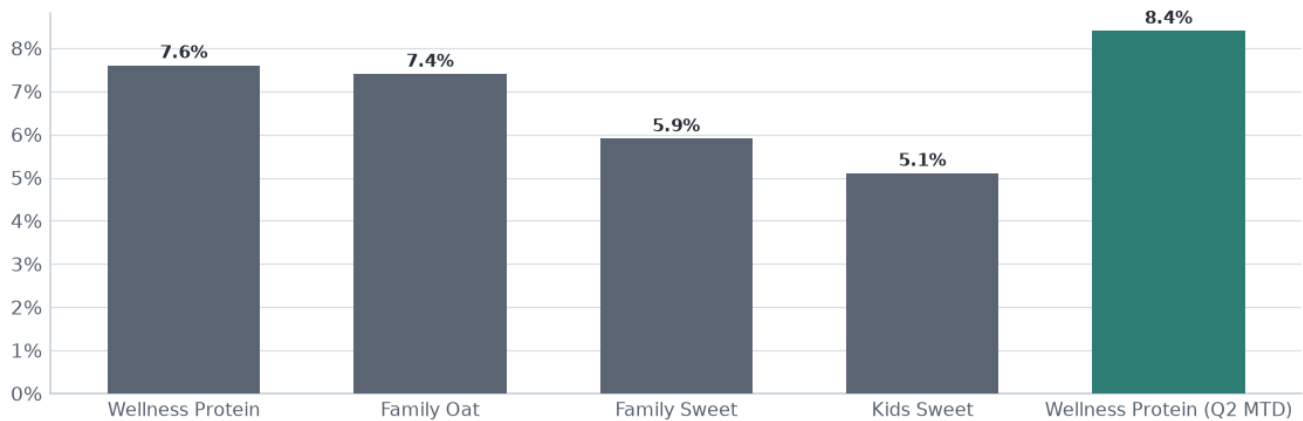
Wellness Protein (+18.3%) is the outlier; Kids Sweet is the only shrinking pocket.

Wellness Protein grew +18.3% to \$840M — five times the growth rate of Family Sweet (+1.4%, \$2.86B, Crunchwell's home) and in stark contrast to Kids Sweet (–2.8%, \$1.41B, HoneyNest's home). Family Oat grew +2.4% on the back of the Cheerios Oat Crunch launch. The pattern is unambiguous: dollars are migrating toward protein and permissibility and away from traditional kid-sweet cereal.

## 3 · Where Acme wins by segment

Acme's 5.7% total-category share masks a strong position in the pocket that matters most. In Wellness Protein, Acme share climbed from 7.1% (FY24) to 7.6% (FY25) and to 8.4% in the Q2-FY26 month-to-date read as ProteinPeak's two new hero SKUs shipped. At Target specifically — the launch's lead account — Acme holds 18.4% of the Wellness Protein pocket versus 5.2% at Walmart, an index that reflects both the Roundel endcap support and a Target shopper who over-indexes for premium protein.

Acme share by RTE Cereal segment (%)



Acme over-indexes in the pockets it has funded (Family Oat, Wellness Protein).

Where-to-play read

Acme's advantaged position is Wellness Protein, where it holds ~8% share of an +18% pocket and is still gaining. Family Sweet is a defend-and-hold job (slow-growth, high Acme dependence via Crunchwell). Kids Sweet is a managed decline. The portfolio bet — concentrate innovation dollars in protein and single-serve, defend the Crunchwell base — is directionally correct; see the LRP (Report 15) and the ProteinPeak read (Report 23).

4 · Adjacencies — the same shifts, one aisle over

4.1 · Adjacent-category growth — FY2025

| Adjacency                      | Size    | \$ Growth YoY |
|--------------------------------|---------|---------------|
| Plant-Based Milk — Oat         | \$1.64B | +18.8%        |
| Hot Cereal — Single-Serve Cups | \$560M  | +9.8%         |
| Granola — Total                | \$1.88B | +3.3%         |

Source: seed\_category\_market\_size, FY2025 (Plant-Based Milk, Granola, Hot Cereal).

The adjacencies rhyme with the RTE read. Oat milk grew +18.8% (\$1.64B) — the same plant-forward, functional shopper that drives Wellness Protein — and is where RootDay plays. Single-serve hot-cereal cups grew +9.8%, confirming the convenience shift that MorningOats Cup rides. Granola grew +3.3% (\$1.88B), TrailGrove's pocket. Wherever the shopper is trading toward protein, oats, and single-serve convenience, the category is growing; wherever the proposition is legacy sweet, it is flat to down.

5 · Macro forces & source reconciliation

5.1 · Tailwinds and headwinds

The demand-side forces sort cleanly. Tailwinds: high-protein cereal demand (strength 0.92, growth) and the cinnamon flavour renaissance (0.81) — both squarely under ProteinPeak and the Crunchwell Cinnamon Twist range. Headwinds: the GLP-1 / Ozempic appetite shift (0.81, flagged down-volume) is a structural drag on breakfast portion size, and low-sugar reformulation pressure (0.72) weighs on legacy sweet cereal. The net

effect concentrates growth in exactly the pockets Acme has been funding.

| Macro force                      | Strength | Direction            |
|----------------------------------|----------|----------------------|
| High-protein cereal              | 0.92     | Up                   |
| Cinnamon flavor renaissance      | 0.81     | Up                   |
| GLP-1 / Ozempic appetite shift   | 0.81     | Down (volume impact) |
| Low-sugar reformulation pressure | 0.72     | Up                   |
| On-the-go single-serve breakfast | 0.72     | Up                   |
| Kid-cereal mom guilt             | 0.68     | Down (kids cereal)   |

Source: seed\_macro\_trends (strength 0–1). Positive-direction forces favour protein/single-serve; down-forces drag legacy sweet.

5.2 · NielsenIQ ↔ Kantar reconciliation

**Read the two panels together, not against each other**

This report is built on NielsenIQ Total US xAOC (retail dollar movement — what sold through the register). The shopper-panel view (Kantar Worldpanel, Report 31) measures who bought and how often. They will not tie out to the decimal: NielsenIQ captures dollars including price and promo, Kantar captures household penetration and frequency. The directional agreement is what matters — both show Wellness Protein gaining buyers and dollars, both show legacy sweet cereal losing occasions. Where a specific number is quoted, its source is named.

**Category risks into H2**

(1) GLP-1 down-volume compounds on the largest, sweetest, most mature SKUs — the Crunchwell base. (2) Larksfield's Field & Honey has escalated into the protein pocket (14g line extension, Report 32), directly contesting Acme's one advantaged position. (3) Kids Sweet decline (–2.8%) is structural, not cyclical — HoneyNest needs a portfolio answer, not more promotion.

Recommendations & next steps

| # | Action                                                                                                                      | Owner                       | When          |
|---|-----------------------------------------------------------------------------------------------------------------------------|-----------------------------|---------------|
| 1 | Concentrate FY27 innovation and A&P; behind Wellness Protein and single-serve — the only double-digit pockets Acme can win. | Nina Ortega / VP Innovation | FY27 planning |
| 2 | Defend Family Sweet share with the Crunchwell Pack Refresh; treat it as hold, not grow.                                     | Cory Whitman                | Q3 launch     |
| 3 | Build a HoneyNest portfolio answer to structural Kids-Sweet decline rather than defending with trade depth.                 | Category Insights           | FY27 planning |
| 4 | Track the protein pocket weekly now that Larksfield has entered it (Report 32).                                             | Nina Ortega                 | Ongoing       |